

The "Smart Money" Flow Cheat Sheet

Identify. Replicate. Profit.

Objective

To predict "Systematic" (Algo/CTA) buying and selling pressure by tracking the specific Trend Speeds and Volatility metrics that govern their models.

1. The "Three Speeds" Dashboard

CTAs do not trade on a single timeframe. They allocate capital across three primary trend speeds. Use this table to diagnose the current market state.

Speed	Proxy Indicator	Trend Signal	Institutional Behavior
FAST (Tactical)	20-Day SMA	Price > 20 SMA:  Bullish Price < 20 SMA:  Bearish	"The Trigger Finger" These models flip quickly. If Price drops below the 20 SMA, expect immediate tactical selling (short-term pressure).
MEDIUM (Core)	50-Day SMA	Price > 50 SMA:  Bullish	"The Holy Grail"

		Price < 50 SMA: ● Bearish	This is the primary leverage toggle. Crossing this line triggers multi-billion dollar re-allocation over 3-5 days.
SLOW (Structural)	120-Day SMA*	Price > 120 SMA: ● Bullish Price < 120 SMA: ● Bearish	"The Institution's Floor" The 6-month trend line. If price holds here, funds "Buy the Dip." If it breaks, they flip to "Structural Short."

**Note: The 120-Day SMA is the "Hidden" Institutional Proxy for the 6-month trend. Plot this manually.*

2. The "Trigger Zones" Playbook

Do not guess. Wait for price to enter these specific zones to anticipate the herd's next move.

A. The "Max Long" Zone (Blue Sky)

- **Condition:** Price is **ABOVE** all three averages (20, 50, and 120).
- **CTA Flow: Buying Dips.** They are running max leverage.
- **Strategy:** Long bias. Buy pullbacks to the 20-day SMA.

B. The "De-Leveraging" Zone (Caution)

- **Condition:** Price breaks **BELOW** the 20-day but holds **ABOVE** the 50-day.
- **CTA Flow: Trimming.** Fast models are selling, but Core models are holding.
- **Strategy:** Neutral/Cash. Watch for a bounce at the 50-day.

C. The "Waterfall" Zone (Danger)

- **Condition:** Price breaks **BELOW** the 50-day SMA.
- **CTA Flow: Forced Selling.** Core trend followers exit longs. This often triggers a 3-5 day "flush" down to the next support.
- **Strategy:** Short bias. Fade rallies that touch the 50-day from underneath.

D. The "Capitulation" Zone (Bear Market)

- **Condition:** The **20-day crosses BELOW the 120-day** (and price is below both).
- **CTA Flow: Max Short.** Systematic funds flip net-short.

- **Strategy:** Sell rallies. Do not buy dips until a "reclaim" occurs.

3. The Volatility Filter (Crucial)

CTAs target volatility (risk), not just price. You must watch the VIX.

Market Context	VIX Condition	Implication for Flow
Rising Price	Falling VIX	● Real Rally. CTAs are adding leverage. Safe to buy.
Rising Price	Rising/Sticky VIX	⚠ Fake Rally. CTAs are <i>selling</i> into the strength to reduce risk exposure. Do not chase.
Falling Price	VIX Spiking (>20)	● Forced Selling. Systematics must sell regardless of valuation. Expect lower lows.

4. Execution Best Practices

The "Two-Close" Rule

Never front-run a breakout. Institutions usually wait for **two consecutive daily closes** above or below a key Moving Average to confirm the trend change.

- *Application:* If SPX reclaims the 50-day SMA on Tuesday, wait for Wednesday's close to confirm before buying.

The "Volume Lie" Detector

A break of a Moving Average is **FALSE** if volume is low.

- *Rule:* For a valid CTA reversal, volume on the breakout day must be **> 10% above the 30-day average volume.**

The "120 SMA Golden Trade"

The highest probability trade in this system.

1. **Setup:** Market corrects sharply (5-8%) while the long-term trend is up.
2. **Trigger:** Price touches the **120-Day SMA** for the first time in months.
3. **Action:** Buy the touch. Set a stop-loss 1-2% below the line.

4. **Why:** Slow CTAs defend this line to protect their annual performance.

Summary Checklist

1. ☐ **Chart Setup:** Daily Candles.
2. ☐ **Indicators:** 20 SMA (Green), 50 SMA (Orange), 120 SMA (Red).
3. ☐ **VIX Check:** Is VIX rising or falling?
4. ☐ **Locate Price:** Are we in the "Max Long," "De-Leveraging," or "Waterfall" zone?